

KEWEENAW LAND ASSN LTD KEWL

January 17, 2025 - 1:49pm EST

by

AltaRocks

			2025	2026
Price:	36.00	EPS	0	0
Shares Out. (in M):	1	P/E	0	0
Market Cap (in \$M):	41	P/FCF	0	0
Net Debt (in \$M):	0	EBIT	0	0
TEV (in \$M):	0	TEV/EBIT	0	0

Description

KEWL presents a “no called strikes” investment opportunity in royalties on mineral asset development in what historically was one of the most significant copper-producing areas in the world. The stock is thinly traded, however.

Since last written up on VIC, Keweenaw Land Association (“KEWL”) divested its substantial timber assets (December 2021), shifting the company’s focus from forestry operations to the management and development of its 1.1 million acres of mineral rights, located largely in the Upper Peninsula of Michigan. KEWL’s assets have the potential for copper, nickel, zinc, gold, silver, and rare earth elements, in addition to certain industrial minerals like trap rock.

Per the [12/31/23 KEWL Annual Report](#):

“Keweenaw’s strategy is to expand its mineral portfolio of exploration-ready projects in and around its current footprint which sits squarely within one of the most historically productive regions in the United States for precious and industrial metals. And then to wait for as long as necessary [to monetize them] - hence the importance of an expense structure that allows for positive carry.”

To this end, the company now has just two full time employees having rationalized expenses such that it expects to burn only \$100k in FY 2024 against a 6/30/24 cash and equiv. balance of \$5.9M.

Any development of minerals controlled by KEWL most likely will be capital light, through partnerships with mineral exploration and mining companies, generating lease payments and/or royalties for KEWL, as is the case with the fully permitted, but as yet unconstructed, Copperwood Project with [Highland Copper Company](#) - more on this below.

KEWL has a history of working successfully with state agencies, and a deep understanding of mineral rights in the region which can help facilitate development opportunities. By strategically leveraging its rights and focusing on sustainable and market-aligned projects, KEWL believes they have strong potential to develop their portfolio well beyond the Copperwood Project.

KEWL Financials

Since selling off its extensive timber portfolio in 2021, KEWL dramatically reduced expenses and has creatively generated revenue to help minimize its cash burn, recognizing that while valuable, its mineral assets will take time to monetize. The Company had nearly \$6m in cash and equivalents at 9-30-24 and expects to burn just \$100K in cash in FY ‘24.

In addition to lease payments from Highland Copper for the Copperwood leases, KEWL generates revenue providing a working capital line to a copper recycling business, and has received option consideration and is negotiating a lease with a solar power company. These recurring revenue sources, combined with interest income on KEWL’s cash balance and low overhead, provide a substantial runway for the Company to explore transactions across its mineral rights portfolio, and for the Copperwood Project to hopefully begin construction and come on line.

[KEWL 6/30/24 financial report](#)

KEWEENAW LAND ASSOCIATION, LIMITED		
Consolidated Statements of Income		
(Unaudited)		
	Six Months Ended June 30, 2024	Six Months Ended June 30, 2023
Revenues		
Lease and Royalty Income	\$ 149,310	\$ 140,000
Expenses		
Cost of Sales	20,094	123,793
Gross Profit (Loss)	129,216	16,207
Selling, General & Administration Expenses	284,954	264,194
Operating Income (Loss)	(155,738)	(247,987)
Other Income/Gain	-	387,204
Interest Income	186,964	201,297
Other Expense	-	(177,015)
Income (Loss) Before Income Taxes	31,226	163,498
Income Tax (Expense) Benefit	1,089	(35,702)
Income (Loss)	32,315	127,796
Net Income (Loss)	\$ 32,315	\$ 127,796
Net Income Per Share:		
Basic	\$ 0.03	\$ 0.11
Dilutive	\$ 0.03	\$ 0.11
Weighted Average Shares Outstanding:		
Basic	1,152,101	1,180,983
Diluted	1,161,641	-

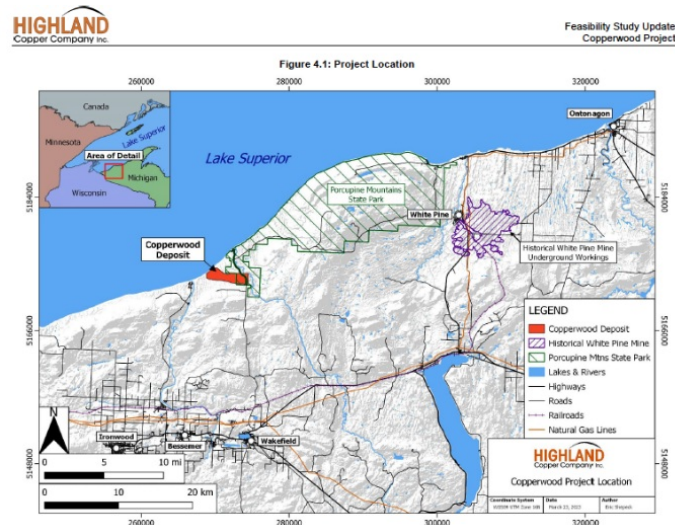
See accompanying notes to consolidated financial statements

	Six Months Ended June 30, 2024	Six Months Ended June 30, 2023
Cash Flows from Operating Activities		
Net Income (Loss)	\$ 32,315	\$ 127,796
Depletion, Depreciation and Amortization	768	768
Decrease (Increase) in Accounts Receivable, Accrued Interest and Notes Receivable	(76,526)	(49,870)
Decrease (Increase) in Prepaid Assets	(14,666)	(5,646)
Decrease (Increase) in Federal Income Tax Receivable	-	-
Increase (Decrease) in Accounts Payable	2,164	28,304
Increase (Decrease) in Other Accrued Liabilities	(9,604)	(34,447)
Increase (Decrease) in State and Federal Deferred Income Tax and Receivable	(4,289)	26,702
Net Cash Provided by (Used by) Operating Activities	(69,838)	93,607

Copperwood Project

The [Copperwood Project](#), owned by Highland Copper Company, is a proposed copper mining operation located in Gogebic County, Michigan. The project, which has been in development since 2008, is one of the most significant undeveloped copper resources in the U.S. and is situated near Lake Superior in the Upper Peninsula. KEWL holds mineral rights for a majority of the Copperwood Project and has leased these rights to Highland Copper.

The project's detailed 4/20/23 feasibility study can be found [here](#).



Highland is currently leasing 6,173 acres of mineral rights from KEWL for the project. These leases, established in 2008, have escalating annual rental payments and are set to expire between 2028 and 2037. Should the Copperwood Project commence production, the leases will convert to a royalty-based arrangement, providing KEWL with a passive income stream over the mine's lifespan.

The Copperwood project is estimated to contain approximately 820 million pounds of copper and additional silver as a by-product. The resource grade is around 1.45% copper, making it economically viable at current copper prices (\$4 / lb.). An underground mining operation is proposed resulting in minimal surface disturbance. Plans include a processing plant to produce copper concentrate onsite. Highland has committed to using sustainable mining practices to minimize environmental impacts, including water management systems and waste containment.

Table 1.4: Mineral Reserves Estimate - Copperwood Project

Reserve by Category	Tonnes (Mt)	Cu Grade (%)	Ag Grade (g/t)	Cu contained (M lb)	Ag Contained (M oz)
Proven	18.2	1.49	4.47	597	2.6
Probable	7.5	1.34	2.56	222	0.6
Proven & Probable	25.7	1.45	3.91	820	3.2

***Notes on Mineral Reserves:**

1. The Mineral Reserves were estimated using the Canadian Institute of Mining, Metallurgy and Petroleum (CIM) Estimation of Mineral Resources & Mineral Reserves Best Practice Guidelines (Nov. 29, 2019) and CIM Definition Standards for Mineral Resources and Reserves, (May 10, 2014).
2. Mineral Reserves are estimated at a cut-off grade of 1% Cu. The cut-off will vary depending on the economic context and the operating parameters.
3. Mineral Reserves are estimated using a long-term copper price of \$4.00/lb and a silver price of \$25.00/oz.
4. Assuming a long-term copper price \$4.00/lb, a sliding scale 4.0% NSR royalty on the Copperwood Project is payable to leaseholders. A 1.5% NSR royalty on the Copperwood Project payable to Osisko Gold Royalties Ltd. This also includes an additional 11.5% silver mineral royalty payable to Osisko Stream Royalties.
5. Mineral Reserves are estimated using an ore loss of 3%, a dilution of 0.1 m for the floor and a 0.25 m for the back of the slope and the development.
6. The economic viability of the mineral reserve has been demonstrated.
7. A minimum mining height of 2.1 m was used.
8. The copper recovery was estimated at 86%.
9. The Qualified Person for the estimate is Carl Michaud, P.Eng., VP, Mining Engineering for GMS. The estimate has an effective date of May 25, 2022.
10. The numbers may not sum due to rounding; rounding followed the recommendations in NI 43-101.
11. The geotechnical parameters of the previous technical report from June 2018 were used in this Feasibility Study update.

The Copperwood Project is described as a “fully permitted copper mining initiative” because it has received key regulatory approvals needed to begin operations. However, to date, Highland has not been able to secure financing to construct the project, and it suffered a setback in December 2024, when the Michigan Senate Appropriations Committee declined to approve a \$50 million grant, citing financial uncertainties and environmental concerns. The project’s proximity to Lake Superior and the Porcupine Mountains Wilderness State Park has heightened scrutiny from [environmental groups](#) and local stakeholders.

On the other hand, approximately 22 units of government, ranging from townships to county boards, have issued resolutions backing the project, emphasizing anticipated economic benefits such as job creation and increased tax revenues. In addition, several state legislators have expressed strong support for the mine, citing its alignment with the region’s mining heritage and economic needs, emphasizing the project’s potential to provide substantial employment opportunities.

Supporters argue that the Copperwood Mine could bring significant economic benefits to the Western Upper Peninsula, including the creation of over 380 permanent jobs and 300 construction jobs, along with increased local, county, and state revenues. They also emphasize that the project complies with Michigan’s stringent environmental regulations, aiming to balance economic development with environmental stewardship.

It is hard to assess the prospects of the Michigan senate reconsidering and approving the \$50M grant. On the negative side, all 38 seats in the Michigan state senate are elected at the same time in off-years, for a 4-year term. All 38 senators were last up for election in 2022 when the chamber flipped to a 20-18 Democratic majority; Republicans control the MI House. All senators will stand for re-election in 2026 unless they have served the permitted two terms. On the positive side, the grant passed the MI House and Highland claims they continue to demonstrate good environmental stewardship as they conduct pre-construction activities on the site. Perhaps designation of copper as a “critical mineral” (see below) could tip the MI senators in favor of the grant.

In November, 2024, before the State’s decision on the grant, Highland’s CEO, Barry O’Shea, [stated](#): “Highland continues its methodical execution to prepare Copperwood for a construction decision,” with “decision” being the operative word. Highland Copper has not yet announced alternative funding strategies following the grant rejection.

For its part, KEWL has historically not publicly opined on the likelihood of the Copperwood Project being built, directing shareholders to contact Highland Copper. While the decision to not fund the grant in late 2024 was disappointing, it was not fatal to the project per se.

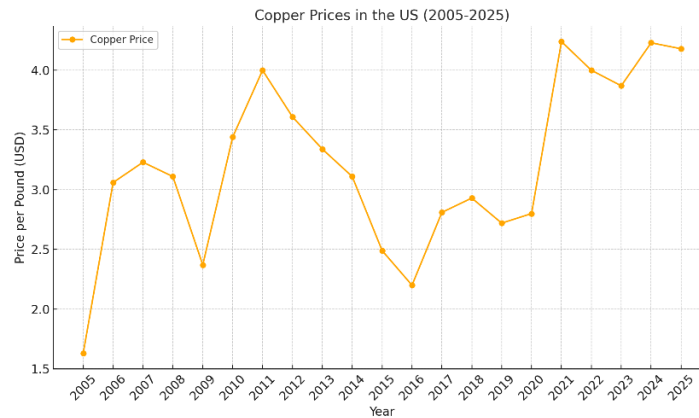
Demand for Copper

The outlook for copper demand in the U.S. is strong, driven by the transition to renewable energy, the electrification of transportation, and infrastructure modernization. With sustained investment and policy support, copper is expected to remain a cornerstone of the U.S. economy in the coming decades.

On the supply side, the U.S. produces around 7% of the world’s copper supply, with limited large-scale copper mines in operation. The United States imports copper to meet its domestic demand and this reliance on imports could create supply chain vulnerabilities. Moreover, should the U.S. impose import tariffs, it could increase the cost of copper making domestic production more attractive.

Having the federal government recognize copper as a “critical mineral” would underscore its role in renewable energy technologies and infrastructure, potentially leading to increased investment and support including federal funding and tax credits for copper mining operations, similar to those available for other critical minerals like lithium or rare earths.

Importantly, while copper is not yet classified as a “critical mineral” by the USGS - it is by the Department of Energy - there is legislation before the U.S. Senate that could unify its designation as “critical”. In November 2024, the U.S. House of Representatives passed the [Critical Mineral Consistency Act of 2024](#). This legislation aims to align the DOE and USGS critical minerals lists, effectively adding copper to the USGS list. The bill’s passage in the House indicates legislative recognition of copper’s strategic importance. One would reasonably expect passage of this bi-partisan bill in the upcoming Republican-controlled U.S. Senate and it being signed into law by President Trump.



Project Economics and Potential Benefit to KEWL

Below we model the potential economics to KEWL of the Copperwood project, should it come to fruition.

Based on the baseline financial model set forth in the Feasibility Study of the Copperwood Project, here is the potential value to KEWL assuming the project begins paying royalties in 2027 and KEWL receives 80% of the royalties owed:

KEWL Projected Royalty Income based on Baseline Feasibility Study Model														
	2025	2026	2027	2028	2029	2030	2031	2032	2033	2034	2035	2036	2037	
	-1	0	1	2	3	4	5	6	7	8	9	10	11	
Assumed price of Cu		\$0.00	\$0.00	\$4.15	\$4.00	\$4.00	\$4.00	\$4.00	\$4.00	\$4.00	\$4.00	\$4.00	\$4.00	
Royalty (M)	\$ -	\$ -	\$ -	\$ 11.78	\$ 15.90	\$ 15.74	\$ 15.10	\$ 12.81	\$ 12.49	\$ 11.43	\$ 11.47	\$ 11.82	\$ 12.07	\$ 4.95
KEWL share (est.)	\$ -	\$ -	\$ -	\$ 9.424	\$ 12.720	\$ 12.592	\$ 12.080	\$ 10.248	\$ 9.992	\$ 9.144	\$ 9.176	\$ 9.456	\$ 9.656	\$ 3.960
Tax	-25%	\$ -	\$ -	\$ (2.356)	\$ (3.180)	\$ (3.148)	\$ (3.020)	\$ (2.562)	\$ (2.498)	\$ (2.286)	\$ (2.294)	\$ (2.364)	\$ (2.414)	\$ (0.990)
After Tax Royalty Income	\$ -	\$ -	\$ -	\$ 7.068	\$ 9.540	\$ 9.444	\$ 9.060	\$ 7.686	\$ 7.494	\$ 6.858	\$ 6.882	\$ 7.092	\$ 7.242	\$ 2.970
Discount Rate	8.0%													
NPV	\$46.9 million													
Per Share	\$41.66	1.13 shares o/s												

Here is the sensitivity of the royalty present value per share to percentage changes in copper prices assuming an equivalent percentage change in royalty payment:

	% Deviation from Baseline Projected Royalty Payments to KEWL				
	-10.0%	-5.0%	0.0%	5.0%	10.0%
Present Value of After-Tax Royalties per KEWL share	\$37.49	\$39.58	\$41.66	\$43.74	\$45.83

The Feasibility Study notes the sensitivity of the entire project to copper prices:

Table 1 – Metal Price Sensitivities – After-Tax Results¹

Cu Price (\$/lb)	NPV 0% (\$M)	NPV 8% (\$M)	IRR (%)	Payback (years)
5.00	1,013	507	33.4	2.0
4.50	729	333	25.6	2.5
4.25	587	246	21.4	2.9
4.00	456	168	17.6	3.5
3.75	308	75	12.4	4.4

¹ Source: Technical report entitled "Feasibility Study Update Copperwood Project Michigan, USA" with an effective date of March 6, 2023 prepared for Highland by G Mining Services available at www.sedarplus.ca (the "Copperwood Technical Report").

The Lessee: Highland Copper Company

Highland Copper Company Inc. is a Canadian company focused on exploring and developing copper projects in the Upper Peninsula of Michigan. In addition to the Copperwood Project, Highland owns 34% of the White Pine North project through a joint venture with Kinterra Copper USA LLC. Highland's common shares are listed on the TSX Venture Exchange under the symbol "HI" and trade on the OTCQB Venture Market under symbol "HDSRF".

In 2023, Highland sold a 66% interest in its as yet not fully permitted project, White Pine North. While this added liquidity to Highland's balance sheet, external financing is required for construction of the Copperwood Project.

While the Michigan senate's action was a setback, it is encouraging to see Highland continue with site preparation activity and project related hiring. In its 9/30/24 quarterly filing, Highland reported the following:

- Copperwood has substantially completed all obligated early site work maintaining key permits in good standing
- In September 2024, Highland announced the appointment of Dr. Wynand van Dyk as Project Director for Copperwood. Preparation for detailed engineering is underway

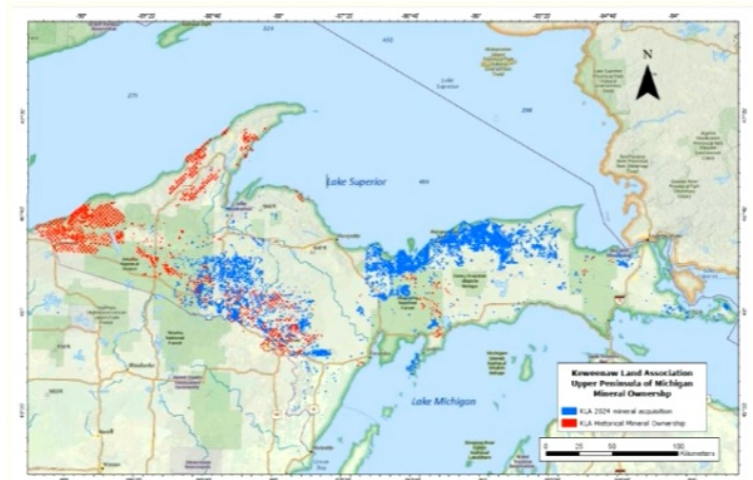
- During the quarter, the Company signed a letter of intent with the Michigan Building and Construction Trades Council reflecting the collective goal to sign a Project Labor Agreement.

Other assets

Apart from the Copperwood Project, KEWL's mineral rights portfolio encompasses a substantial acreage across multiple counties, positioning the company for various mineral exploration and development opportunities in the region.

In July, 2024, KEWL [acquired](#) 667,300 acres of unencumbered, severed mineral properties ranging across the Upper Peninsula of Michigan for a purchase price of \$970,000. According to KEWL, much of this acreage has historically been under-explored and "was not previously accessible to companies to conduct exploration activities." Significantly, much of this land has not seen modern exploration techniques in more than 40 years. The acres are also complementary to three exploration-ready areas KEWL has identified.

Following this acquisition, the map below highlights the geographic diversity of KEWL's portfolio. KEWL's historical mineral rights are shown in red and the mineral rights acquired in the 2024 transaction are shown in blue:



In October 2024, KEWL completed a [mineral rights exchange](#) with the Michigan Department of Natural Resources (DNR). This transaction involved KEWL transferring over 8,000 acres of mineral rights beneath the Porcupine Mountains Wilderness State Park to the DNR. In return, KEWL received approximately 9,551 acres of mineral rights in Baraga, Dickinson, Gogebic, Iron, Menominee, and Ontonagon counties. This strategic exchange aims to enhance KEWL's mineral portfolio in areas with potential copper, gold, and nickel resources.

In the swap, KEWL traded mineral rights in the Porcupine Mountains Wilderness State Park, a location with significant environmental concerns, for rights in areas with higher exploration and development potential, where mining activity might be less contentious.

Finally, at the [2024 shareholder meeting](#), KEWL management indicated that there may be an opportunity to repurpose the Company's inactive Groveland asset. In particular, it was noted that the brownfield, former iron ore mine site, which has power and rail access, could be used for sub-aqueous tailing deposition, an environmentally responsible means of disposing of tailings.

KEWL Leadership

KEWL is led by Tim Lynott, who serves as the company's President. Lynott assumed this role on January 1, 2022, following the retirement of former President Mark Sherman, who now sits on KEWL's Board. Lynott previously served as KEWL's Treasurer and Controller. Prior to joining Keweenaw, Mr. Lynott worked at Highland Copper (the lessee for the Copperwood Project) as Manager of Finance and Administration for a period of five years.

The Board of KEWL consists of:

- Chair: Jamie Mai
 - Founder and president of Cornwall Capital, a private investment firm established in 2003. (28.3% owner)
- Eric Speron
 - Managing Director of Equities with First Foundation Advisors since 2007. Additionally, Mr. Speron serves as a director for Tandy Leather, Inc. and Tejon Ranch Co. (11.1% owner)
- Mark Sherman
 - President and CEO of KEWL until his retirement on December 31, 2021

Stock Ownership

Name of Beneficial Owner	Amount Beneficially Owned	Percent of Class Beneficially Owned ⁽³⁾
James A. Mai *	333,866 ⁽¹⁾	28.3%
Eric H. Speron *	131,294 ⁽²⁾	11.1%
Mark A. Sherman*	865	*
Timothy G. Lynott	350	*
All Directors and Executive Officers as a group (4 persons)	466,375	39.5%

* Current Member of our Board of Directors and Nominee for Re-election

* Less than 1%

(1) Includes shares owned by Cornwall Capital. Mr. Mai is the Chief Investment Officer of Cornwall Capital.

(2) Includes shares owned by First Foundation Advisors. Mr. Speron is the Managing Director of Equities of First Foundation Advisors.

(3) The percentages shown are based on the 1,177,917 shares of our common stock outstanding as of May 13, 2024.

Valuation

KEWL Projected Royalty Income based on Baseline Feasibility Study Model

	2025	2026	2027	2028	2029	2030	2031	2032	2033	2034	2035	2036	2037
	-1	0	1	2	3	4	5	6	7	8	9	10	11
Assumed price of Cu	\$0.00	\$0.00	\$4.15	\$4.00	\$4.00	\$4.00	\$4.00	\$4.00	\$4.00	\$4.00	\$4.00	\$4.00	\$4.00
Royalty (M)	\$ -	\$ -	\$ 11.78	\$ 15.90	\$ 15.74	\$ 15.10	\$ 12.81	\$ 12.49	\$ 11.43	\$ 11.47	\$ 11.82	\$ 12.07	\$ 4.95
KEWL share (est.)	80%	\$ -	\$ 9.424	\$ 12.720	\$ 12.592	\$ 12.080	\$ 10.248	\$ 9.992	\$ 9.144	\$ 9.176	\$ 9.456	\$ 9.656	\$ 3.960
Tax	-25%	-	-	(2.356)	(3.180)	(3.148)	(3.020)	(2.562)	(2.498)	(2.286)	(2.294)	(2.364)	(0.990)
After Tax Royalty Income	\$ -	\$ -	\$ 7.068	\$ 9.540	\$ 9.444	\$ 9.060	\$ 7.686	\$ 7.494	\$ 6.858	\$ 6.882	\$ 7.092	\$ 7.242	\$ 2.970
Discount Rate	8.0%												
NPV	\$46.9 million												
Per Share	\$41.66 1.13 shares o/s												

	NPV (M)	Proability	Expected Value
Copperwood Project	\$ 46.9	66.70%	\$ 31.3
Other Mineral Leases	?		-
Groveland Repurpose	?		-
Excess Cash	3.0		3.0
Total	\$ 49.9 M		\$ 34.3 M
Shares o/s (M)	1.13		
Per Share	\$44.32		\$30.45

Market Price 1/17/25 \$36.00
Market Capitalization 1/17/25 \$ 40.5 M

Assuming a $\frac{2}{3}$ chance of the Copperwood Project coming online and hitting its projected baseline royalties to KEWL beginning in 2027, ascribing no value to KEWL's significant remaining mineral rights/assets, and ignoring royalties from any incremental copper mined at Copperwood in excess of the "proven" reserves, we get a value per share of \$30.45.

Accordingly, at today's price one pays roughly \$6M for an option on whether KEWL can monetize at least some of its remaining assets over the next 15 years - assuming a \$200k cash burn per year, KEWL consumes \$3M of the \$6M cash balance.

Certainly, there is a bet on the Copperwood project, but given the current positive dynamics in the copper market, advances in environmental impact mitigation, and the dearth of economic opportunities in the U.P., we believe the chances are better than not that Copperwood goes forward.

The Company has a stock buyback program in place and it most recently purchased a 51,633 share block at \$27.00 on 6/4/24.

Risks

- The Copperwood Project does not get financed and does not come online
- Highland Copper devotes its attention to its other project (White Pine North) and neglects/abandons Copperwood
- Copper prices fall materially
- There is negligible value in KEWL's remaining assets
- Thinly traded security

I do not hold a position with the issuer such as employment, directorship, or consultancy.

I and/or others I advise hold a material investment in the issuer's securities.

Catalyst

Designation of copper and "critical mineral" via passage of Critical Mineral Consistency Act of 2024

Reconsideration and approval of the State of Michigan grant by MI Senate

Highland Copper secures funding for Copperwood Project

Messages

No messages